

If You Have Damaged Credit

Sometimes people make unwise choices or take on more credit than they can handle and end up with a bad credit history. Sometimes they acquire bad credit through divorce, loss of a spouse, or bankruptcy. If you have bad credit, or have no credit history, chances are you can still get a credit card, but it will cost you more, and the terms won't be as favorable as they are for those with good credit or a history of making timely payments. You may only be able to get a \$500 credit limit, and you'll probably pay an exorbitant interest rate. Use the card wisely and make your payments on time, and eventually you'll qualify for better terms.

Research the best credit card deals, and apply to only one at a time. Applications for credit show up on your credit report and can make potential credit card issuers nervous, because they think you may be taking on more credit than you can handle. If you get turned down for a major credit card, try a department store card or gas card. These are often easier to get and making your payments on time for one of these cards can build a credit history that will help you qualify at some point for a major credit card.

Secured Cards

If all else fails, consider a secured card. You put your own money into a savings account and that amount, or some portion of it, becomes the security for your credit line. If you don't pay your bills, the card issuer will use the money from your savings account to cover your debt. It may be difficult to come up with the amount to deposit, but you can build a credit history using this method. Many people find that after twelve to eighteen months of making timely payments on a secured card, they can "graduate" to a regular credit card.
